# Lecture 07 (2026-06-07)

## Quick Summary

This segment covers the foundational accounting principles (conventions) required for the exam, the logic behind classifying items (Assets vs. Liabilities vs. Income vs. Expenses), and the construction of the Statement of Profit and Loss. Specific focus is placed on identifying "tricks" regarding dividends, pre-received income, and the calculation of the Cost of Goods Sold (COGS). Additionally, this segment details the calculation of Gross Profit (measuring manufacturing efficiency), the distinction between direct and indirect expenses, and the multi-step calculation of Operating Profit, EBITDA, EBT, and Net Income (PAT). It also covers the derivation of Retained Earnings, the specific categorization of wages vs. salaries, and the identification of assets and liabilities on a balance sheet. **The updated segment introduces the "Conservatism" principle regarding asset valuation (no appreciation), the distinction between "Trade Receivables" (Assets) and "Trade Payables" (Liabilities), and the specific calculation flow of a Statement of Profit and Loss as preferred in finance-focused roles versus traditional "Trading Accounts." It further explores the "Double Treatment" of adjustments not included in the trial balance and provides specific logic for handling prepaid expenses, outstanding items, and the distinction between opening and closing inventory. The segment also clarifies the conceptual logic of the COGS formula as a measure of "consumed" inventory and discusses the choice between traditional "Trading Account" (balanced) and modern "Statement of Profit and Loss" (vertical) reporting formats.**

## Key Definitions

- **Pre-received Income**: Classified as a **Liability** because it represents a "future obligation" (the entity has received payment but has not yet provided the service).
- **Dividend**: Not an expense. It is a "sharing of profit" or an **appropriation of profit**. It does not appear in the expense section of the profit and loss statement; instead, it reduces the amount of profit retained by the company.
- **Reserves and Surplus**: These are part of the owner's equity. They are used to bolster the equity position of a company, which can help the company secure loans by showing a higher equity base.
- **Offer of Interest (Interest Received)**: This is **Income**, not an asset.
- **Gross Profit**: A term used to measure manufacturing efficiency. It is primarily a function of raw material costs because they are more volatile than labor costs.
- **Operating Profit**: The "profit available to the firm" after subtracting all indirect (operating) expenses from the Gross Profit.
- **EBIT**: Earnings Before Interest and Tax.
- **EBITDA**: Earnings Before Interest, Tax, Depreciation, and Amortization.
- **EBT**: Earnings Before Tax.
- **Net Income (PAT)**: Profit After Tax; the "bottom line" of the income statement.
- **Wages**: Considered a **Direct Expense** because they are paid to temporary workers or those on a daily basis, directly impacting the production/cost of goods.
- **Salaries**: Considered an **Indirect Expense** because they are paid to higher-level officers and management-level personnel.
- **Retained Earnings**: The portion of Net Profit that remains with the organization after dividends or drawings are paid out.
- **Conservatism**: An accounting principle where the firm does not record "appreciation" (increase in value) of assets (like land or buildings) because it is difficult to ascertain exact future value and would lead to inflated profit figures.
- **Trade Receivables**: Also known as "Debtors"; these are assets representing goods/services provided but not yet paid for.

- **Trade Payables**: Also known as "Bills Payable"; these are liabilities representing debts owed to suppliers for raw materials.
- **Opening Inventory**: Used exclusively for the calculation of Cost of Goods Sold (COGS). It is not recorded as an asset or liability on the Balance Sheet.
- **Prepaid Expenses**: Assets that represent payments made in advance. These are deducted from the current period's expense total because they are not applicable to the current period.

## Worked Examples

**Identification of Items (Classification Exercise):** - Interest received: Income (Not an asset because there is no future benefit). - Outstanding salaries: Liability. - Machinery: Asset. - Advertising expense: Expense. - Accounts payable: Liability (Note: This is a common trap for non-commerce students). - Rent received: Income. - Inventory: Asset (also known as closing stock). - Depreciation: Expense (It reduces an asset, it is not an asset). - Bank loan: Liability. - Cash in hand: Asset. - Service revenue: Income. - Commission received: Income. - Repairs and maintenance expenses: Expense. - Mortgage payable: Liability. - Nature: Asset. - Dividend income: Income (Income earned by the company from its investments).

**Revenue Sources for Statement of Profit and Loss:** 1. Sales (Net of returns/Sales from operations) 2. Commission received 3. Discount received 4. Profit from sale of assets 5. Profit from sale of investments 6. Bad debts recovered 7. Interest income 8. Dividend income 9. Government incentives/grants 10. Rent income

**Cost of Goods Sold (COGS) Calculation:** $\text{Opening Stock} + \text{Purchases} - \text{Closing Stock} = \text{Cost of Goods Sold}$ **Reasoning:** $(Opening Stock + Purchases)$ represents the total quantity/value of inventory available for use. Subtracting the $Closing Stock$ (what is currently left) identifies exactly what was **"consumed" or "removed"** from the inventory during the period (this includes items that were sold or were destroyed/lost).

**Indirect Expenses (Items included in Operating Expenses):** - Rent - Salaries (includes training costs) - **Depreciation and Amortization** - Maintenance cost - Insurance expense - Liaisoning cost - Utility Cost - Stationery - Marketing Expenses (including bad debts, benefits, and donations)

**Profit Calculation Sequence (Managerial Analysis Model):** The multi-step calculation allows a manager to pinpoint where inefficiencies or cost increases occur: 1. **Gross Profit Calculation**: $\text{Total Revenue} - \text{Direct Expenses} = \text{Gross Profit}$ *(Note: Direct expenses include items like Carriage Inward, Power and Lighting, and Wages.)* 2. **Operating Profit Calculation**: $\text{Gross Profit} - \text{Indirect Expenses (Operating Expenses)} = \text{Operating Profit}$ - *Managerial Inference:* If Gross Profit is stable but Operating Profit falls, it indicates an increase in **Indirect Expenses** (operational inefficiency). 3. **EBITDA Calculation**: $\text{EBIT} + \text{Depreciation} + \text{Amortization} = \text{EBITDA}$ *(Reasoning: Depreciation and Amortization are non-cash expenses already subtracted in the Gross Profit/Operating Profit stage; adding them back recovers the full operating value.)* 4. **EBT Calculation**: $\text{EBIT} - \text{Interest} = \text{EBT}$ - *Managerial Inference:* If Operating Profit remains the same but EBT decreases, it indicates an increase in **Interest costs**. 5. **Net Income (PAT)**: $\text{EBT} - \text{Tax} = \text{Net Income (PAT)}$

**Balance Sheet Components:** - **Liabilities (Long Term):** Loans, Debt. - **Liabilities (Current/Short Term):** - Short-term Loan - Accounts Payable (also known as **Trade Payable** or **Bills Payable**) - Accrued Expenses (Outstanding expenses) - Unearned Income / Pre-received Income - Taxes Payable - **Assets (Fixed/Long Term):** - Land and Building - Plant and Machinery - Vehicles - Goodwill - Investments - **Assets (Current):** - Cash at Bank - Accounts Receivable - Inventory - Prepaid Expenses - Received Income - Short Term Investments

***New Example Segment (Practice Problem Analysis):*** Based on the instructor's walk-through of a standard problem, the following items are categorized to construct the financial statements: - **Cash/Bank**: Current Asset - **Trade Receivables**: Current Asset (Debtors) - **Inventory**: Current Asset (Raw Materials) - **Machinery/Furniture**: Long-term Assets (Fixed Assets) - **Purchases**: Direct Expense (subtracted from Sales to get Gross Profit) - **Salaries/Rent/Office Expenses**: Operating Expenses (subtracted from Gross Profit to get Operating Profit/EBIT) - **Drawings**: Reduction of Capital/Equity - **Trade Payables/Bank Loans**: Liabilities

**Screen Captures (Formulae & Flows):** *Operating Profit and EBITDA Calculation:* - Gross Profit - Less: Operating Expenses - **Operating Profit (EBIT)** (Profit available to the firm) - EBIT - Add: Depreciation and Amortization (Remove

Depreciation and Amortization which is a negative number) - **EBITDA**

*EBT and PAT calculation steps:* - EBIT (Earnings for Interest and Tax) - Less: Interest - EBT (Earnings Before Tax) - Less: Tax - PAT/ Net Income - Less: Dividend Income / Drawings - Retained Earnings

*Calculation of Profit for a specific "Practice Problem" provided in class:* 1. **Gross Profit Step**: $\text{Sales} - \text{Purchases (Direct Expenses)} = \text{Gross Profit}$ 2. **Operating Profit Step**: $\text{Gross Profit} - \text{Operating Expenses (Salaries, Rent, Office Expenses)} = \text{Operating Profit (EBIT)}$ 3. **EBT/PAT Step**: $\text{EBIT} - \text{Interest} - \text{Tax} = \text{Net Income (PAT)}$

**Retained Earnings Calculation:** $\text{Net Profit} - \text{Dividends/Drawings} = \text{Retained Earnings}$

***Additional Calculation Examples (Adjustment Processing):*** *Adjusting for Outstanding Expenses:* - **Salaries**: If trial balance shows 300,000 but 50,000 is "Outstanding," total expense for Statement of Profit & Loss = **350,000**. - **Rent/Insurance**: If trial balance shows 60,000 but 10,000 is "Prepaid," the expense for the current period is **50,000**.

***Specific Item Logic for Adjustments:*** - **Closing Inventory**: Included in both the COGS calculation and the Balance Sheet (Asset). - **Depreciation**: Included as a reduction from expense (Operating Profit) and a reduction from the asset (Balance Sheet). - **Provision for Doubtful Debts**: Included as an indirect expense and a reduction in assets. - **Accrued Interest**: Included as a liability and a cost.

## Formulas & Rules

**The Accounting Equation & Equity Impact:** To determine how items impact owner's equity, use a three-column format ($\text{Asset} = \text{Liabilities} + \text{Owner's Equity}$): - **Income**: Show as a positive number in the Owner's Equity column. - **Expense**: Show as a negative number in the Owner's Equity column. - **Dividend**: Show as a negative number in the Owner's Equity column. *(Note: Explicit "Debit/Credit" notation is not required for this calculation; the sign [+/-] indicates the impact on equity).*

**Cost of Goods Sold (COG):** $\text{Opening Stock} + \text{Purchase} - \text{Closing Stock}$

**Gross Profit:** $$\text{Total Revenue} - \text{Direct Expenses}$$

**Operating Profit:** $$\text{Gross Profit} - \text{Indirect Expenses (Operating Expenses)}$$

**EBITDA:** $$\text{EBIT} + \text{Depreciation} + \text{Amortization}$$

**EBT:** $$\text{EBIT} - \text{Interest}$$

**Net Income (PAT):** $$\text{EBT} - \text{Tax}$$

## Tricky Logic & Traps

- **The "Future Benefit" Test:** To determine if an item is an asset or income, ask: *"Is there a future benefit?"* If the answer is **No**, it is categorized as **Income** (e.g., Interest received).
- **Dividend vs. Expense:** A common trap is treating dividends as an expense. Because dividends are a "sharing of profit" (appropriation) rather than a cost of doing business, they do **not** reduce profit; they only reduce the amount of profit held in reserves/retention.
- **Pre-received Income:** Students often mistake this for income. It must be recorded as a **Liability** because it is a "future obligation" to perform a service.
- **Accounts Payable:** The instructor noted this as a potential point of confusion; it is a liability, not an expense. Specifically, **Accounts Payable**, **Trade Payable**, and **Bills Payable** are all synonymous terms for the same concept (amounts due to suppliers for raw materials).
- **Reserves and Surplus:** Understand that these are part of equity. They are used strategically to increase the equity ratio to facilitate borrowing from lenders.

- **Raw Material vs. Labor Volatility:** When calculating Gross Profit, raw material costs are highlighted as the primary factor for measuring manufacturing efficiency because they are significantly more volatile than labor costs (e.g., fluctuation in the price of rubber for a tire manufacturer).
- **The "Add Back" for EBITDA:** Because Depreciation and Amortization are non-cash expenses already subtracted in the calculation of Operating Profit, they must be **added back** to EBIT to arrive at the EBITDA figure.
- **Power and Lighting (Direct vs. Indirect):** There is no fixed rule for whether utilities are direct or indirect. It is a "subjective call" based on proportion; if the expenditure is significant (e.g., 30-40% of total expenses), it is treated as a **Direct Expense**.
- **Rent vs. Rent Income:** Be careful not to confuse the two. Rent is an **Indirect Expense** (cost of the building), while Rent Income is a **Source of Revenue**.
- **Wages vs. Salary Distinction:** This is a critical distinction for manufacturing calculations. **Wages** are paid to workers (blue-collar, daily basis) and are considered **Direct Expenses** (associated with cost of goods sold/raw materials). **Salaries** are paid to higher-level officers (white-collar) and are **Indirect Expenses**.

  **Managerial Analysis of Profit Levels:**

  - If **Gross Profit** is the same but **Operating Profit** is lower: The issue is **Indirect Expenses** (system inefficiency).
  - If **Operating Profit** is the same but **EBT** is lower: The issue is **Interest** costs.
- **Depreciation Adjustment:** If depreciation is provided as an adjustment (not already in the trial balance), it must be **subtracted** from the fixed assets on the balance sheet.
- **The "Conservatism" Rule for Assets:** Do not record **appreciation** for assets like land, buildings, or vehicles. Because accurate valuation is difficult and subjective, appreciation is excluded from the Profit & Loss statement to avoid inflating profits.
- **Accounting Format vs. Finance Format:** Be aware of the difference between a **"Trading Account"** (traditional accounting/audit format with Debit/Credit columns) and a **"Statement of Profit and Loss"** (management/finance format). For this course, the **Statement of Profit and Loss** format (Step-by-step subtraction from Revenue to PAT) is the required standard.
- **Trade Receivables vs. Trade Payables:** Do not confuse the two. **Trade Receivables** are assets (money owed to the company); **Trade Payables** are liabilities (money the company owes to others).
- **The "Double Treatment" of Adjustments:** A critical rule for the exam: If an item (like a provision, depreciation, or outstanding expense) is not included in the original Trial Balance, it **must appear twice**. It must appear once in the Statement of Profit and Loss (affecting the expense/revenue) and once in the Balance Sheet (adjusting the corresponding asset or liability).

  **The "Opening vs. Closing" Inventory Distinction:**

  - **Opening Inventory** is only used in the calculation of COGS. It is NOT an asset on the Balance Sheet.
  - **Closing Inventory** is used in both the COGS calculation AND is recorded as a current asset on the Balance Sheet.

  **Prepaid vs. Outstanding Logic:**

  - **Prepaid Items** (e.g., Prepaid Insurance): These are not for the current period. They are **subtracted** from the expense in the Profit & Loss statement and recorded as an **Asset** on the Balance Sheet.
  - **Outstanding Items** (e.g., Outstanding Salaries, Accrued Interest): These are obligations for the current period. They are **added** to the expense in the Profit & Loss statement and recorded as a **Liability** on the Balance Sheet.
- **Provision for Doubtful Debts:** Under the **Conservatism** rule, these are treated as an expense (specifically an indirect expense) to ensure risks are accounted for.
- **COGS Logic (Sense of "Consumption"):** The calculation $(\text{Opening} + \text{Purchase}) - \text{Closing}$ is designed to identify what was **"consumed"** or **"removed"** from inventory. It is not just what was sold; it accounts for anything that left the inventory (sold, lost, or destroyed).
- **Report Format Choice (Trading Account vs. Statement of Profit & Loss):** While the traditional **"Trading Account"** (balanced/horizontal) format may be used and understood by some, the **"Statement of Profit and Loss"** (vertical/list) is the standard for finance-focused roles. While the balance sheet can be shown in any format, the instructor recommends the "Statement" format for the P&L as it is more standard in professional settings and aids in transition to subsequent topics like valuation.

## Exam Pointers

- **Presentation:** For the exam, ensure the accounting equation is presented in the specific three-column format taught in class (Assets, Liabilities, Owner's Equity) to ensure consistency with the grading standard.
- **Real-World Context:** The instructor advises looking at actual "Notes to Accounts" in real-world financial statements to become familiar with professional terminology (e.g., "Provision for tax" vs. "Tax refund").
- **Audit Readiness:** Be prepared to identify items based on their "nature" rather than just their name.
- **Decision Making:** When making assumptions (such as the classification of Power/Lighting), explicitly state the reasoning (e.g., based on the proportion of total expenses).
- **Identify your Path:** If the exam focuses on "Accounting" (CPA/CA), it may lean toward the "Trading Account" format; if the focus is "Finance/Management," use the "Statement of Profit and Loss" format.
- **Format Choice:** You may choose between the balanced "Trading Account" and the vertical "Statement of Profit and Loss." However, the Statement of Profit and Loss is highly recommended as it aligns with industry standards and upcoming modules like valuation.

## Sources

- Statement of Profit and Loss and Balance Sheet.pptx
- cash flow statement-2026.pptx
- FMA-Class 2 -2026 accting eqn (3).pptx